AdventureWorks

Sales Performance & Profitability

Executive Report

Scope: full historical period - year-over-year on the latest comparable years

RUDY MEVIZOU
Data Analyst - Power BI - SQL - Python

EXECUTIVE SUMMARY

Global historical performance (full period). AdventureWorks generated **29.36 M€ revenue** and **12.08 M€ profit** at a healthy **41.1% margin**, across 27,659 orders and 18,484 customers. Average order value is **1,061 €** and revenue per customer **1,588 €** — economics driven almost entirely by high-ticket bikes.

2013 vs 2012 headline. Revenue reached **16.35 M€ (+179.9%)** and profit **6.77 M€ (+178.6%)**, with margin essentially flat (41.4% vs 41.6%). Orders (+551%), units (+1,454%) and customers (+436%) all surged. **This is not organic tripling.** 2012 (5.84 M€) was itself *below* 2011 (7.08 M€), so 2013 is a **rebound off a depressed base** amplified by aggressive customer acquisition (17,429 customers vs 3,255). The underlying signal is a return to — and beyond — 2011 scale, not a step-change in run-rate.

Main issue — structural fragility. Revenue is dangerously concentrated: **Bikes = 96.5% of historical revenue and 93.9% in 2013**. A single category swing drives the entire business, and the 2011→2012→2013 sequence shows that swing is real and large.

Main opportunity — geographic + attach expansion. The **United States is the clear growth engine** (+280% YoY, 33.4% of 2013 revenue, 42.1% margin) with room to deepen. In parallel, **Accessories (62.6% margin)** are structurally far more profitable than bikes but contribute only ~4% of revenue — an under-exploited, high-margin attach opportunity.

Top 3 actions. (1) Scale the US/North America playbook into the stalling Australian market. (2) Launch a systematic accessories/clothing attach program to lift blended margin. (3) Protect and grow Mountain Bikes, the strongest profitable driver (+180% YoY, 45.4% margin).

KEY FINDINGS

Product

- **Bikes dominate and dictate results:** 96.5% of historical revenue, 93.9% in 2013 (15.36 M€, +163% YoY). Margin is solid at 40.5% but **eroded slightly (-1.1 pts)** as volume grew.
- **Mountain Bikes are the best driver:** +180.1% revenue YoY, **45.4% margin** (the richest bike line), +217% customers — profitable *and* expanding the base.
- **Road Bikes are the soft spot:** largest historical line (49.5% share) but only **+46.2% YoY**, the weakest bike growth, with margin slipping to **36.4% (-2.4 pts)** — the lowest-margin major product. This is the core line to defend.
- **High-margin lines are under-scaled:** Accessories carry **62.6% margin** and Clothing 40.0%, but together only ~3.5% of revenue. Touring Bikes (3.82 M€) and Accessories register as **"New in 2013"** launches — treat their growth as new ramp, not YoY momentum.

Geography

- **United States = engine:** +280.1% YoY, 33.4% of 2013 revenue, **42.1% margin**, customers +735%. Best combination of scale, growth and profitability.
- **Australia = the concern:** the 2nd-largest market historically (30.9%) but the **weakest 2013 growth (+103.9%)** and the **only major market losing margin (-1.8 pts, to 40.1%)**. A large market decelerating relative to peers.
- **Canada = high-efficiency upside:** smaller (6.6%) but **highest margin (43.2%, +2.0 pts)** and explosive order growth (+1,590%) — efficient to scale.
- Europe (UK, Germany, France) all grew strongly (+144% to +198%) at stable ~41% margins — reliable, not problematic.

Customer

- **Older, higher-income customers carry the business:** the **55+ group is #1** (46.6% of 2013 revenue, +202.7%, 41.8% margin) and **46–55 is #2** (40.3%, +178.5%). Together ~87% of revenue.
- **High Income grows fastest** (+245%, 41.8% margin); Middle Income is the largest pool (47.1%). **Low Income lags** (+83.7%) — lowest growth and margin.
- The 36–45 segment is comparatively small (13.1%) and slowest-growing (+123.5%) — limited near-term priority.

Risk note (data-grounded): the dataset flags **zero formal risk segments** (RiskFlag = Yes: 0). The genuine risks are therefore *structural*, not segment-level: single-category dependency on Bikes, the demonstrated volatility of the 2011–2013 revenue swing, and Australia's relative deceleration with margin erosion.

RECOMMENDATIONS

#	Action	Expected impact	Priority
1	**Replicate the US growth playbook in Australia.** Australia (30.9% of revenue) grew only +103.9% with margin down -1.8 pts, while the US grew +280%. Closing even part of that gap on a market this size is the largest single revenue lever.	High revenue + margin recovery on a ~4.3 M€ base	**High**
2	**Launch a structured accessories/clothing attach program.** Accessories run at 62.6% margin vs ~40% for bikes but only ~4% of revenue. Attaching to the 21,289 bike-heavy 2013 orders lifts blended margin with minimal acquisition cost.	High margin uplift, low cost	**High**
3	**Defend and reprice Road Bikes.** Largest line (49.5% historical) but weakest growth (+46%) and eroding margin (36.4%, -2.4 pts). Review pricing/discount discipline and product mix to stop margin leakage on the core.	Protects core profit pool	**High**
4	**Double down on Mountain Bikes + 55+/High-Income customers.** Mountain Bikes (+180%, 45.4% margin) sold to the 55+ (46.6% share) and High-Income (+245%) segments is the most profitable proven growth combination — concentrate marketing spend here.	Medium–high, profitable growth	**Medium**
5	**Reduce single-category dependency.** Bikes = 93.9% of 2013 revenue. Set a deliberate target to grow non-bike share (accessories, clothing, new 2013 launches) to cushion the volatility shown in the 2011→2012 decline.	Strategic resilience, medium-term	**Medium**

Prioritization rationale. Actions 1–3 are *High* because each defends or unlocks a multi-million-euro revenue/margin pool already in hand (Australia recovery, attach margin, Road Bikes leakage). Actions 4–5 are *Medium*: high-quality but either already trending well (Mountain Bikes) or strategic/longer-horizon (diversification).

Bottom line for the decision-maker: 2013 restored AdventureWorks to record scale (16.35 M€, 41.4% margin), but the result is a **rebound from a weak 2012, not proven organic momentum**, and it rests on a **single category (Bikes, ~94%)** and **one accelerating market (US)**. The path to durable value is to (1) revive Australia, (2) monetize high-margin accessories, and (3) stop margin erosion in Road Bikes — while reducing the structural over-reliance on bikes that makes revenue swing as sharply as it did between 2011 and 2013.

All figures above are drawn directly from the provided dataset. No external data was used. Where the data flags segments as "New in 2013," they are treated as product launches rather than YoY growth, and no risk segments were formally flagged in the data (RiskFlag = 0).

Appendix - Charts

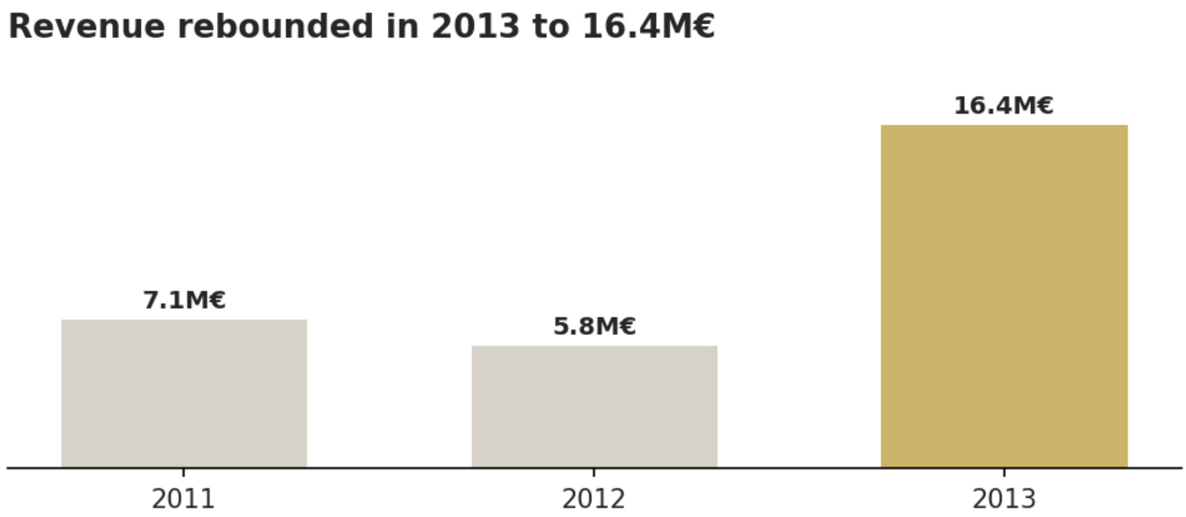

Figure 1 - Yearly revenue

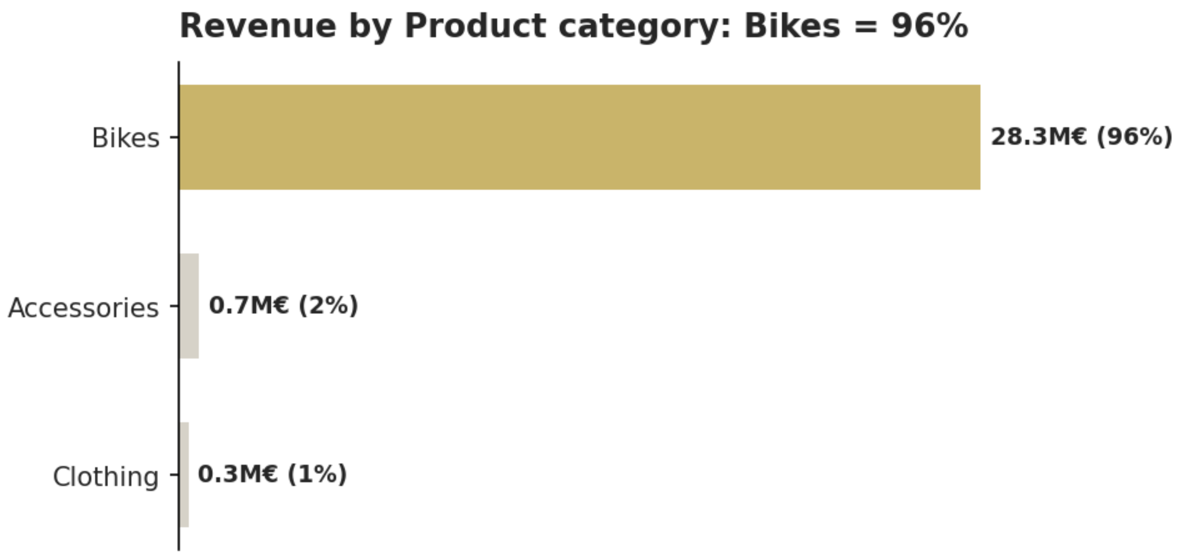

Figure 2 - Revenue by ProductCategory

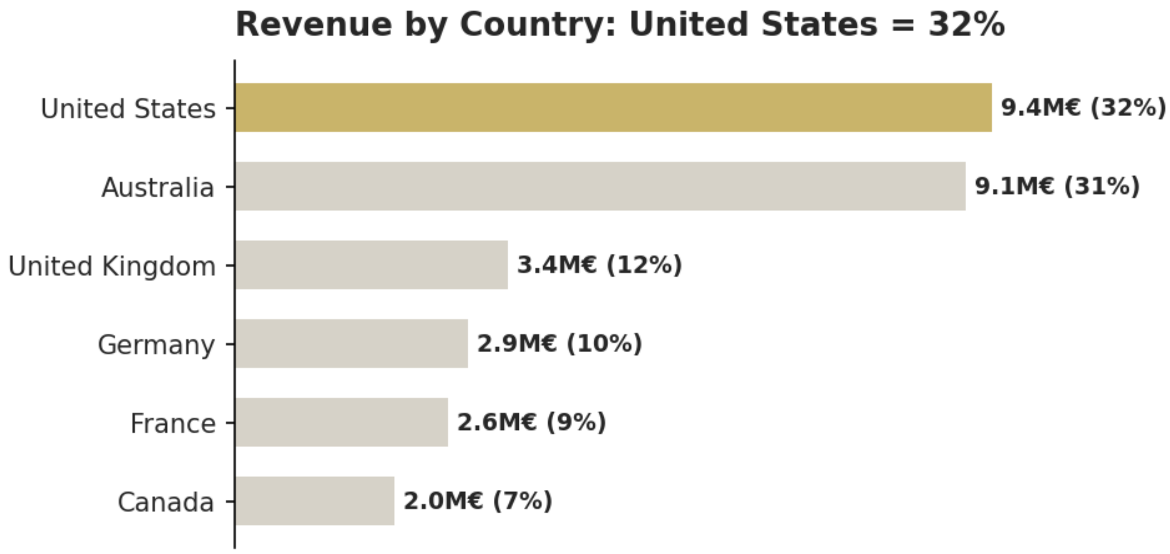

Figure 3 - Revenue by Country

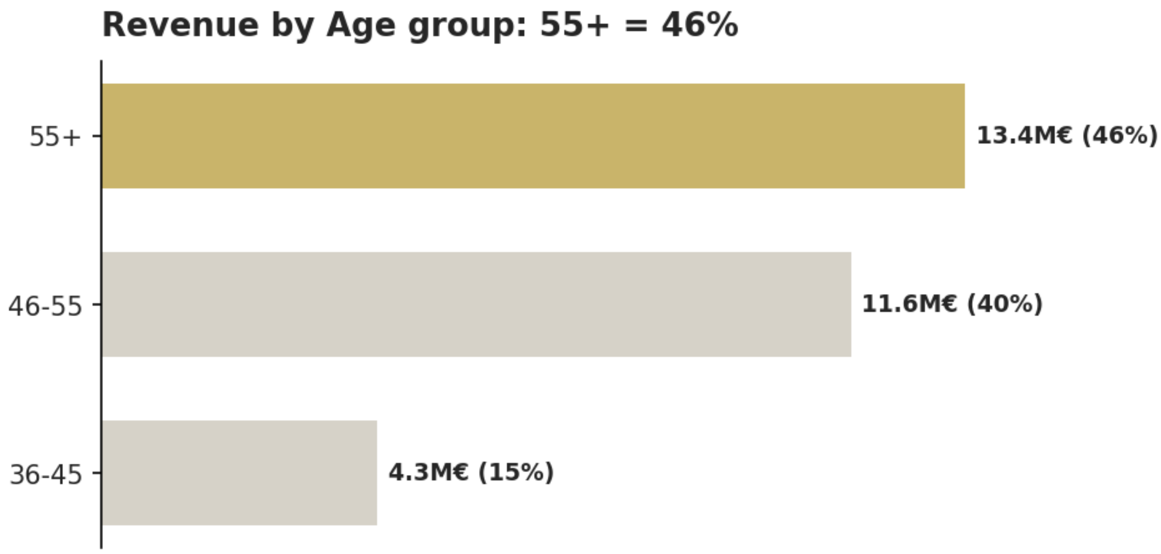

Figure 4 - Revenue by AgeGroup

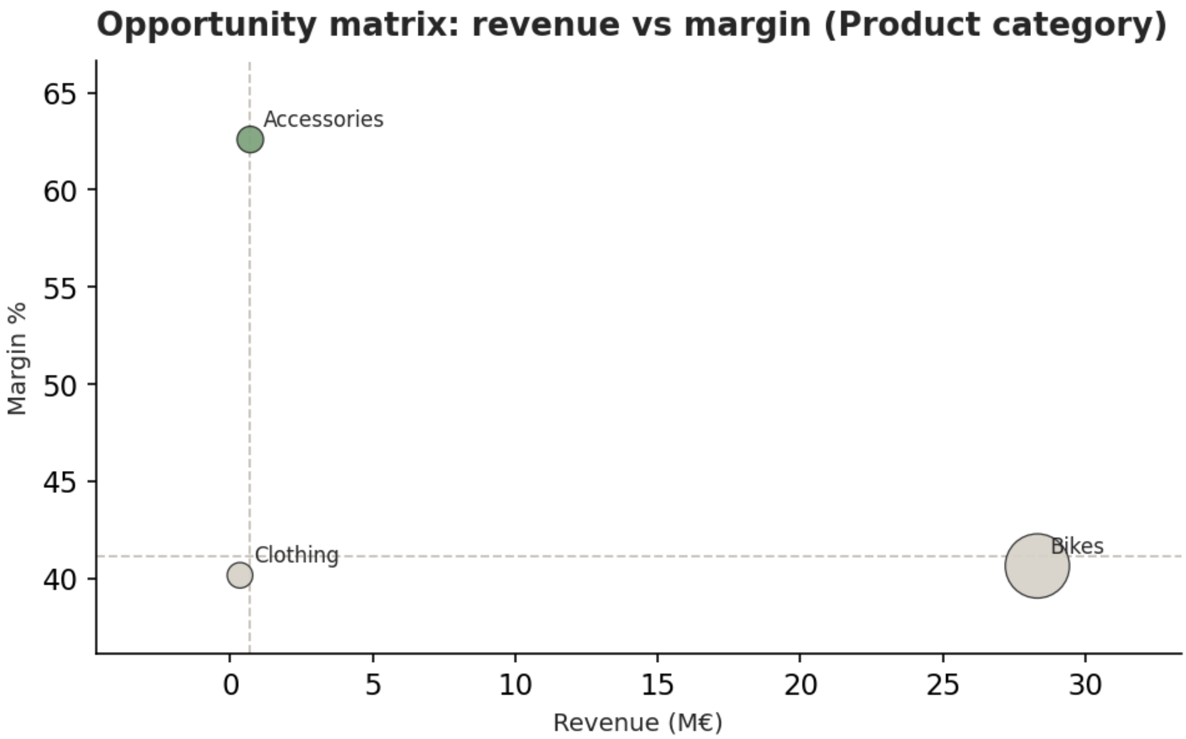

Figure 5 - Opportunity matrix

Charts generated automatically from the source data. Orders/Customers are distinct counts (nunique).